A Defined Benefit Plan for Your Business

A qualified retirement plan for high earners who have outgrown the 401(k) or SEP

A small business defined benefit plan is an IRS qualified retirement plan that lets you contribute, and deduct, far more each year than a 401(k), SEP or SIMPLE allows. For the right business it can become the largest deduction on the return. This guide covers how the plan works, who it tends to fit, what it asks of you, and how Skyview Financial Group coordinates the process with your CPA and the plan administrator.

HOW IT WORKS

A defined benefit plan targets a specific annual benefit at retirement. An actuary works backward from that target to set the yearly contribution, based on:

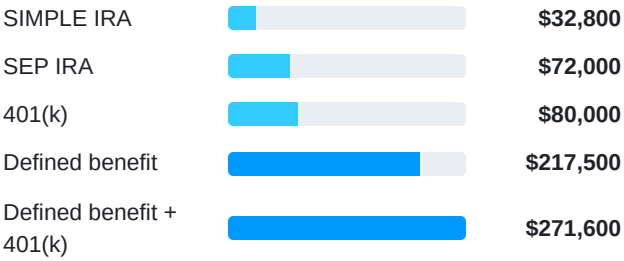
- **Your age.** The older you are, the fewer years there are to fund the benefit, so the larger the annual contribution.
- **Your compensation.** W-2 wages if your business is a corporation; net self-employment earnings if you are a sole proprietor or partner. Only earned income counts, up to the $360,000 compensation limit.
- **Your retirement age.** Usually at least five years after the plan is adopted.

The maximum annual benefit is currently $290,000. Contributions are deductible to the business and grow tax deferred. When the plan ends, assets can roll to an IRA.

A 401(k) can run alongside the plan. If you have staff, a **cash balance plan paired with a safe harbor 401(k)** keeps employee costs modest while most of the contribution goes to you.

HOW MUCH MORE IT ALLOWS

2026 maximum contribution, owner age 52 earning $360,000



Includes catch-up contributions of $3,850 (SIMPLE, small-employer limit) and $8,000 (401(k)). Defined benefit figures are hypothetical actuarial estimates from Dedicated Defined Benefit Services for an owner retiring in 10 years; actual amounts depend on the plan design and census.

WHY OWNERS CONSIDER IT

- ✓ A large, predictable deduction when income is high and steady
- ✓ A way to catch up on retirement savings in your peak earning years
- ✓ Can be adopted as late as the business's tax filing deadline, including extensions
- ✓ Plan design, actuarial work and Form 5500 filings are handled by a specialist administrator

ESTIMATED ANNUAL CONTRIBUTION BY AGE AND INCOME

Income	Age 35	40	45	50	55	60	65
$100,000	$45,500	$55,200	$70,400	$84,200	$100,500	$101,400	$89,400
$150,000	$68,300	$82,800	$105,700	$126,300	$150,800	$152,200	$134,100
$200,000	$91,100	$110,500	$140,900	$168,400	$201,100	$202,900	$178,800
$250,000	$113,900	$138,100	$176,200	$210,500	$251,400	$253,600	$223,500

Figures are hypothetical actuarial estimates prepared by Dedicated Defined Benefit Services for 2026. Table assumes a corporation, W-2 compensation, a business start date of January 1, 2024, and retirement at the later of age 62 or five years of plan participation; amounts differ for sole proprietors. Contributions can be higher when a 401(k) is added or, for younger owners, when benefits are funded over the first 10 years.

QUICK FIT CHECK

- You are age 35 or older
- You earn at least $100,000 a year from a business you own, self-employment, contract work, or side income such as consulting, board fees, speaking or royalties
- You want to set aside more than $50,000 a year, or a larger share of income than a 401(k) or SEP allows
- You can keep up the contribution for at least three to five years
- The business is just you, you and a spouse, a family business, or a small team (a cash balance design fits practices with staff)

COMMON PROFESSIONS

Physicians and dentists, attorneys, engineers, consultants, financial and insurance professionals, real estate agents, contractors, sales representatives, software developers, corporate directors with board fees, and spouses with self-employment income.

Works for sole proprietors, partnerships and corporations.

HYPOTHETICAL OWNER PROFILES

Each profile below is a hypothetical illustration, not an actual client.

Owner-only consultant, age 53

MAXIMUM DEDUCTION

W-2 income of $360,000, plans to retire at 62. Defined benefit plan funded over 10 years, with a 401(k).

2026 contribution, DB / DB + 401(k) **$230,100 / $284,200**

Married physicians, ages 61 and 59

CATCH UP BEFORE RETIREMENT

Each earns $360,000 in W-2 income; both plan to retire in five years. Plan funded over five years, optional 401(k).

2026 contribution, DB / DB + 401(k) **$559,800 / $668,000**

Professor with consulting income, age 57

SHELTER SIDE INCOME

Salaried at a university, plus $150,000 a year from consulting, board fees and speaking. Plan covers the side income only.

2026 contribution, DB only **$148,400**

Engineer with variable income, age 48

SAVE MORE, KEEP FLEXIBILITY

W-2 income of $185,000 this year, not certain it will stay that high. Plan funded over 14 years, optional 401(k).

2026 contribution, DB / DB + 401(k) **$110,300 / $145,900**

Spouse with a bookkeeping practice, age 61

INVEST A SECOND INCOME

Earns $100,000 a year after self-employment tax; the household does not need it to live on.

2026 contribution, DB only **$91,000**

Former executive now consulting, age 72

DEFER TAXES AND RMDS

Takes $200,000 in W-2 income through an S corporation. Five-year plan with three-year cliff vesting; no RMDs from this plan until 2029.

2026 contribution, DB only **$128,400**

Figures are actuarial estimates prepared by Dedicated Defined Benefit Services for 2026, based on specific assumptions; actual contributions depend on plan design and census.

WHAT TO WEIGH BEFORE YOU COMMIT

- **Commitment.** Plan to fund it for at least three to five years; contributions must keep the plan on track.
- **Ongoing costs.** Actuarial, administration and Form 5500 filing fees apply each year.
- **Employees.** Eligible staff generally must be covered, which shapes the design and cost.
- **Cash flow.** The actuary sets the contribution each year, so steady income helps.

FROM ILLUSTRATION TO FUNDED PLAN

1. **Free illustration**
   Skyview requests a custom proposal from Dedicated DB showing your estimated maximum contribution. **We review it with you and your CPA.**
2. **Plan design**
   You complete a short questionnaire on the business, income and any employees. **Your CPA's input on entity type and compensation is key here.**
3. **Plan installation**
   Dedicated DB designs the plan, obtains the trust ID and prepares the adoption agreement and plan documents for your signature.
4. **Fund the account**
   Skyview opens the plan's investment account at Fidelity or Schwab and manages it with a conservative, deduction-focused approach.
5. **Annual review**
   Each year end, Dedicated DB calculates the allowable contribution range and files the Form 5500. **Your CPA receives the contribution amount for the return.**

KEY DATES AND RULES

Adoption deadline	The business's tax filing deadline for the plan year, including extensions
Contribution deadline	Tax filing deadline plus extensions, and no later than 8½ months after plan year end. Up to 50% of the estimate can be deposited before year end
Commitment	Plan to contribute for at least three to five years
Employees	Must be considered in the design; a cash balance plus safe harbor 401(k) keeps staff costs predictable
At termination	Assets can roll to an IRA and continue to grow tax deferred
Investments	Low-volatility portfolios are generally used; the goal is a reliable deduction, not high returns

WORKING WITH YOUR CPA

- ✓ Your CPA stays in the loop from the first illustration to each year's contribution
- ✓ We never act as tax preparers; your return stays with your CPA
- ✓ Three-way calls with you, your CPA and the plan actuary whenever useful
- ✓ No cost to you for an illustration

ABOUT SKYVIEW FINANCIAL GROUP

Skyview Financial Group is a fee-only, SEC registered investment adviser based in Ponte Vedra Beach, Florida, serving business owners, executives and families. We work alongside each client's CPA and attorney, and partner with Dedicated Defined Benefit Services, part of FuturePlan by Ascensus, a national third-party administrator specializing in defined benefit and cash balance plans for businesses with 1 to 10 employees.

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